

Revision Sheets

One page per topic for quick revision before a test. All amounts are in Malaysian Ringgit (RM). Full explanations are in each chapter's notes.

Chapter 8: Irrecoverable Debts and Allowance for Receivables

Key formulas

- Allowance required = trade receivables (after write-offs) x percentage
- Change in allowance = allowance required - allowance brought forward
- Net trade receivables (SOFP) = trade receivables - allowance

Double entry at a glance

Transaction	Debit	Credit
Write off an irrecoverable debt	Irrecoverable debts	Customer (trade receivable)
Reinstate a debt written off earlier	Customer	Irrecoverable debts recovered
Cash from a debt written off earlier	Bank	Customer
Create or increase the allowance	Income statement	Allowance for irrecoverable debts
Decrease the allowance	Allowance for irrecoverable debts	Income statement
Transfer irrecoverable debts at year end	Income statement	Irrecoverable debts

Where does it go?

Item	Statement	Heading
Irrecoverable debts	SPL	Expenses
Irrecoverable debts recovered	SPL	Other income
Increase in allowance	SPL	Expenses
Decrease in allowance	SPL	Other income
Allowance (balance)	SOFP	Deducted from trade receivables, current assets

Top 5 mistakes

1. Charging the whole allowance to the SPL every year. Only the change goes to the SPL.
 2. Working out the percentage before writing off the irrecoverable debts.
 3. Adding the allowance to trade receivables instead of subtracting it.
 4. Forgetting that a decrease in the allowance is income.
 5. Recording a recovered debt only as cash, without reinstating the customer's account first.
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Chapter 10: Tangible Non-current Assets and Depreciation

Key formulas

- Straight line: $(\text{cost} - \text{residual value}) / \text{useful life}$
- Reducing balance: $\text{carrying amount at start of year} \times \text{rate}$
- Revaluation: $\text{opening value} + \text{purchases} - \text{closing value}$
- Part year (monthly basis): $\text{annual depreciation} \times \text{months owned} / 12$
- Carrying amount = $\text{cost} - \text{accumulated depreciation}$
- Profit or loss on disposal = $\text{sale proceeds} - \text{carrying amount}$

Double entry at a glance

Transaction	Debit	Credit
Buy a non-current asset by cheque	Asset (for example, Machinery)	Bank
Depreciation for the year	Income statement	Provision for depreciation
Disposal: transfer cost	Disposal	Asset
Disposal: transfer depreciation	Provision for depreciation	Disposal
Disposal: proceeds	Bank	Disposal
Loss on disposal	Income statement	Disposal
Profit on disposal	Disposal	Income statement

Where does it go?

Item	Statement	Heading
Depreciation for the year	SPL	Expenses
Loss on disposal	SPL	Expenses
Profit on disposal	SPL	Other income
Cost, accumulated depreciation, carrying amount	SOFP	Non-current assets

Top 5 mistakes

1. Using cost instead of the carrying amount for reducing balance.
2. Forgetting to deduct residual value in straight line.
3. Recording depreciation in the asset account instead of the provision account.
4. Treating repairs as capital expenditure.
5. Putting a profit on disposal on the wrong side of the disposal account. A profit balances on the debit side.

Chapter 11: Accruals and Prepayments

Key formulas

- Expense = $\text{paid} - \text{opening accrual} + \text{opening prepayment} + \text{closing accrual} - \text{closing prepayment}$

- $\text{Income} = \text{received} - \text{opening accrued income} + \text{opening income in advance} + \text{closing accrued income} - \text{closing income in advance}$

Double entry at a glance (year-end adjustments)

Adjustment	Debit	Credit
Accrued expense	Expense account	Accrued expenses (other payables)
Prepaid expense	Prepaid expenses (other receivables)	Expense account
Accrued income	Accrued income (other receivables)	Income account
Income received in advance	Income account	Income received in advance (other payables)
Unused stationery	Inventory of stationery (other receivables)	Stationery

Where does it go?

Item	SPL	SOFP
Accrued expense	Add to the expense	Current liability
Prepaid expense	Subtract from the expense	Current asset
Accrued income	Add to the income	Current asset
Income received in advance	Subtract from the income	Current liability

Memory trick: if the business owes money, it is a liability. If the business is owed something, money or a service, it is an asset.

Top 5 mistakes

1. Putting an accrued expense under current assets.
 2. Counting the months wrongly. Write the months out if you are unsure.
 3. Using the cash paid figure in the SPL without adjusting.
 4. Putting the balance c/d on the wrong side of the ledger account.
 5. Forgetting the opening accrual or prepayment brought forward from last year.
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Chapter 12: Fundamental Accounting Principles and Concepts

Concept	One line meaning	Typical example
Business entity	Business and owner are separate	Owner's private spending is drawings
Duality	Every transaction has two sides	Debit and credit of equal value
Money measurement	Record only what has a money value	Staff skill is not recorded
Historical cost	Record assets at cost	Land stays at the price paid
Going concern	The business will continue	Assets at cost less depreciation
Realisation	Revenue when earned	Credit sale recorded on delivery
Accruals	Match income and expenses to the period	Accruals, prepayments, depreciation
Consistency	Same methods every year	Same depreciation method
Prudence	Do not overstate assets or profit	Allowance; inventory at lower of cost and NRV
Materiality	Small items treated simply	A stapler is an expense

Qualities of useful information: relevance, reliability, comparability, understandability.

Inventory: value at the lower of cost and net realisable value (selling price - costs to sell or repair).

Top 5 mistakes

1. Mixing up realisation (when to record revenue) and accruals (matching to a period).
2. Saying prudence means understating profit on purpose. It means do not overstate.
3. Naming a concept without explaining how it applies to the situation.
4. Valuing inventory at selling price instead of the lower of cost and NRV.
5. Forgetting that going concern is the reason assets are not shown at closing-down values.

Statement of Profit or Loss and Statement of Financial Position

Key formulas

- Net revenue = revenue - sales returns
- Cost of sales = opening inventory + purchases - purchases returns + carriage inwards - closing inventory
- Gross profit = net revenue - cost of sales
- Profit for the year = gross profit + other income - expenses
- Working capital = current assets - current liabilities
- Capital at end of year = capital at start + profit - drawings = net assets

Closing entries at a glance

Entry	Debit	Credit
Transfer revenue	Revenue	Income statement
Transfer opening inventory and purchases	Income statement	Inventory, Purchases
Record closing inventory	Inventory	Income statement
Transfer expenses	Income statement	Each expense account
Transfer profit	Income statement	Capital
Transfer drawings	Capital	Drawings

Where does it go?

Item	Where
Carriage inwards	Cost of sales
Carriage outwards	Expenses
Discount received	Other income
Discount allowed	Expenses
Drawings	Deducted from capital in the SOFP
Bank overdraft	Current liabilities
Loan repayable after 12 months	Non-current liabilities

Top 5 mistakes

1. Putting carriage inwards under expenses.
2. Using the trial balance allowance instead of the new allowance in the SOFP.
3. Treating drawings as an expense.
4. Forgetting loan interest owing.
5. Using each trial balance item more than once, or missing one. Tick each item as you use it.